



Company Profile

- **Aegis Logistics (AGIS)** is a leading gas logistics player in India with two main divisions – Gas and Liquids. While the Gas division is its main growth driver, the Liquids division provides the company with steady cash flows.
- Recently, Aegis has entered into Joint venture with world's leading independent tank storage company – Vopak

Joint Venture in brief

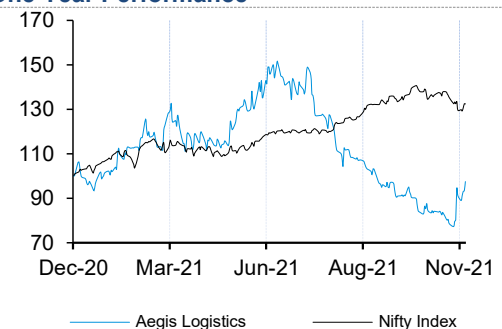
- 8 units of Aegis Logistics Limited will be transferred into the JV except the Mumbai Gas, Retail, distribution of gas and the sourcing of gas business. Post JV, Aegis will hold 51% stake & Vopak will own 49% in the JV.
- Valuations of the JV has been determined on the basis of forecasted EBITDA for FY22 of Rs.248 crores (for transferred units) & agreed EV/EBITDA multiple of 23x valuing the enterprise JV at Rs.5,704 crs. EBITDA of Rs.248 crs will be carved out of Aegis Logistics, out of which 51% will be reflected in the income statement of Aegis.
- As a part of the deal Aegis will receive Rs.2,568 crs (pre-tax) for units transferred & Rs.198 crs on achievement of revenue projections over 3 years. As a part of the deal Aegis will assume a debt of ~Rs.700 crs for its 51% share in the JV. The deal would be in the range of Rs.2,568 crs to Rs.2,766 crs of which 75% would be received on close of transaction & balance after 3 years
- Post deal JV has planned a capex in the range of Rs.2,500 crs - Rs.4,500 crs over a period of next 5 years.
- JV is expected to be completed by end of FY22
- Cash that will be received to Aegis at the close of transaction would be reinfused into JV for capex purpose.
- There would be synergy benefits as Vopak brings in global expertise & technical know how & Aegis being a dominant player in India having presence across key ports.
- Future plans : PAN-India presence, Global know-how for handling of oil, gas, chemicals & new products ; Diversification of customer base ; Proven project execution capability , potential diversification into storage of new gases & renewables

Rating	TP (Rs)	Up/Dn (%)
BUY ON DIPS	301	23

Market data

Current price	Rs	245
Market Cap (Rs.Bn)	(Rs Bn)	86
Market Cap (US \$ Mn)	(US \$ Mn)	1,148
Face Value	Rs	1
52 Weeks High/Low	Rs	394 / 192
Average Daily Volume	('000)	777
BSE Code		500003
Bloomberg		AGIS:IN
Source: Bloomberg		

One Year Performance



Source: Bloomberg

% Shareholding	Sep-21	Jun-21
Promoters	58.07	57.74
Public	41.93	42.26
Total	100	100

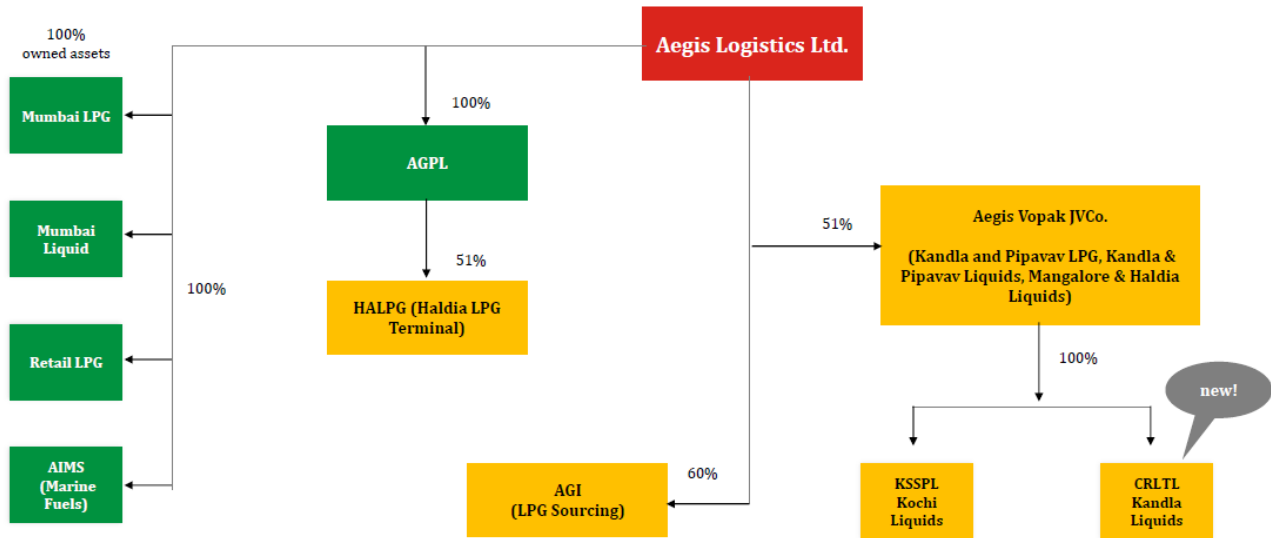
Source: Bloomberg

Bhavya Gandhi

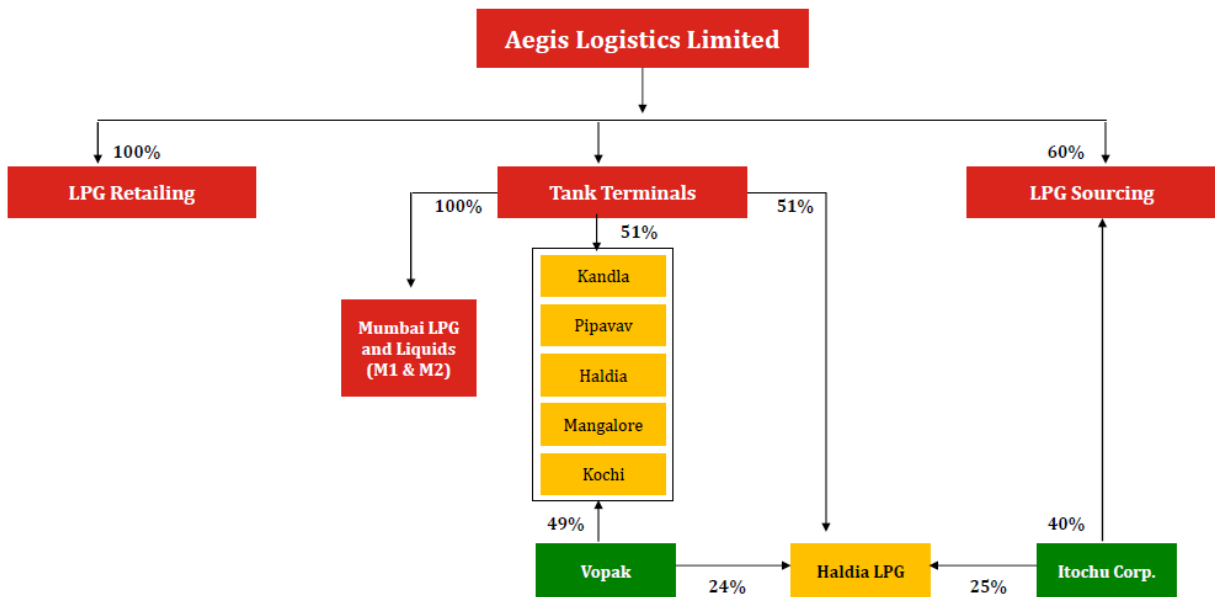
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Transaction Details



Aegis Business Structure (Post – Transaction)



Valuation & Outlook

Aegis is currently trading at **20x FY23E EPS of Rs.12.5**. We value Aegis Limited (Post JV) on weighted average basis of EV/EBITDA & PE Basis (50:50) at Rs.301 implying an upside of 23% from current levels. We recommend **"BUY on Dips"**

EV/EBITDA Valuation

Particulars	(Rs.in Crs)
JV Business	
Projected EBITDA of Gas + Liquids (Transferred to JV - Including Haldia)	248
EV/EBITDA multiple given by Vopak	23x
Enterprise value of JV Business including Haldia	5704
Less : Haldia EV	-1308
Ex-Haldia Enterprise Value (Consolidated EV of all JV assets excl Haldia)	4396
Value of Aegis Stake in Consolidated JV Ex-Haldia @ 51%	2242
Value of Aegis Balance Stake in Haldia @ 51%	667
Enterprise Value of JV Business including Haldia for 51%	2909
Retained Business	
Mumbai LPG + sourcing + distribution	236
Mumbai liquids (M1+M2 terminals)	110
Total Continuing EBITDA of retained business	346
Assumed similar EV/EBITDA multiple of 23x	23x
Enterprise value of Retained Business (B)	7958
Combined Enterprise value for Aegis (A+B)	10867
Less : Debt assumed on JV	700
Estimated Market Cap for Aegis	10167
No.of Shares	35.1
Expected share price	290
Current Market Price	245
Upside (%)	18%
PE Basis	
EPS FY23E	12.5
PE Multiple	25
Expected Share price	313
Current Market Price	245
Upside (%)	28%
Weighted Average Share price (EV/EBITDA : PE = 50 : 50)	301

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